



SAPIENZA
UNIVERSITÀ DI ROMA

Cisco Systems Inc.

Equity Research Report

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Summary

Cisco Systems Inc. is one of the world's leading providers of networking, cybersecurity, and digital infrastructure solutions. Headquartered in San Jose, California, and listed on the NASDAQ stock exchange under the ticker CSCO, the company operates globally through a diversified business model focused on networking hardware, software solutions, cybersecurity services, and cloud-based technologies.

The analysis highlights Cisco's strong international profile, with operations and revenue streams distributed across the Americas, EMEA, and APJC regions. Although the Americas remain the company's largest market, more than 40% of revenues are generated internationally, reflecting a significant degree of geographic diversification. Cisco's operating structure also relies on a global supply chain and outsourced manufacturing model, particularly concentrated in Asia.

From a financial perspective, Cisco demonstrates stable profitability, solid operating margins, and strong cash flow generation capabilities over the 2021–2025 period. Despite temporary fluctuations associated with macroeconomic conditions and the Splunk acquisition, the company maintains a relatively balanced financial structure and substantial financial flexibility. Market-based indicators also suggest that investors continue to attribute a premium valuation to Cisco due to its strategic positioning in cybersecurity, artificial intelligence, and recurring software revenues.

The risk analysis identifies geopolitical tensions, supply chain concentration in Asia, inflationary pressures, and changes in global IT spending as the main sources of international risk exposure. However, Cisco's broad geographic diversification, strong liquidity position, and risk management practices partially mitigate these vulnerabilities.

The valuation analysis was conducted using the Capital Asset Pricing Model (CAPM), the Weighted Average Cost of Capital (WACC), and both equity-side and asset-side Discounted Cash Flow (DCF) approaches. The estimated cost of equity amounts to 7.45%, while the estimated WACC equals 7.15%. The DCF valuation produced an estimated equity value ranging between approximately USD 120,568 million and USD 154,290 million, depending on the valuation approach adopted. Compared with Cisco's current market capitalization of approximately USD 268,963 million, the results suggest that the company may appear potentially overvalued under the assumptions adopted in this report. Nevertheless, the market valuation may reflect stronger long-term expectations regarding artificial intelligence, cybersecurity demand, software transformation, and future strategic growth opportunities.

1 Business Description

1.1 Company Presentation

Cisco Systems Inc. is a U.S.-based multinational technology company headquartered in San Jose, California. Its common stock is listed on the Nasdaq Stock Market under the ticker symbol CSCO. Cisco operates globally and is one of the world's leading providers of networking, cybersecurity, and digital infrastructure technologies.

The company is primarily engaged in the design, development, and commercialization of technologies that enable, secure, and optimize digital networks and Internet infrastructures. Cisco's solutions support connectivity, cybersecurity, cloud computing, and data management for enterprises, governments, and telecommunications operators worldwide.

Cisco's offerings are organized into four main business categories: Networking, Security, Collaboration, and Observability. The company provides both hardware products including switches, routers, and wireless systems and software platforms, cloud-based applications, and related technical services. Cisco also delivers maintenance, consulting, and professional support services throughout the lifecycle of its products.

Cisco operates under a unified corporate brand supported by several strategic product families, including Webex, Meraki, Splunk, ThousandEyes, and AppDynamics. In recent years, the company has progressively expanded its software and subscription-based activities in order to increase recurring revenues and improve long-term revenue visibility.

Cisco's business model combines hardware, software, and recurring service revenues within an integrated technological ecosystem. The company's competitive positioning is supported by strong brand recognition, a broad installed customer base, continuous investment in innovation, and a global partner network. In particular, Cisco is increasingly integrating artificial intelligence and advanced analytics into its platforms in order to strengthen its role in enterprise digital transformation and cybersecurity infrastructure.

1.2 Ownership Structure

Cisco Systems' ownership structure is characterized by a broad presence of institutional investors and appears highly dispersed, with no single shareholder exercising dominant control over the company.

The main shareholders are reported in the Table 1: The main shareholders are reported below.

Shareholder	Country	Ownership (%)
Vanguard Group Inc.	United States	10.10
BlackRock Inc.	United States	9.58
State Street Corporation	United States	4.95
Geode Capital Management, LLC	United States	2.52
Morgan Stanley	United States	1.91
Charles Schwab Investment Management, Inc.	United States	1.79
FMR, LLC	United States	1.66
Invesco Ltd.	United States	1.51
Norges Bank	Norway	1.47
Bank of America Corporation	United States	1.32

Table 1: Main Shareholders

The shareholder base is composed primarily of large U.S. institutional investors, including Vanguard Group, BlackRock, and State Street Corporation, alongside international investors such as Norges Bank, the Norwegian sovereign wealth fund.

Overall, Cisco’s ownership structure can be classified as dispersed rather than concentrated, since no investor holds a controlling stake and equity ownership is distributed among multiple financial institutions. This structure is typical of large publicly listed U.S. corporations and reflects a clear separation between ownership and managerial control.

From a corporate governance perspective, the strong presence of institutional investors contributes to external monitoring and oversight of management decisions, while at the same time preserving a significant degree of managerial autonomy. Such a governance configuration may support strategic stability, long-term decision-making, and alignment between management objectives and shareholder interests.

1.3 Operating Structure

Cisco Systems operates globally through a diversified structure organized across three segments: Americas, EMEA, and APJC. The company serves more than one million customers across over 150 countries through a network of more than 37,000 partners, highlighting the importance of indirect distribution channels.

In the United States, Cisco concentrates high-value functions such as corporate management, R&D, and financial activities. Within EMEA, particularly in the United Kingdom, Germany, Ireland, and the Netherlands, the company mainly performs sales, distribution, and regional management. In the APJC region, India and China play important roles in commercial operations, R&D, and access to high-growth markets.

Cisco adopts an asset-light manufacturing model, relying on third-party contract man-

ufacturers primarily located in Asia. Overall, this structure supports scalability, operational flexibility, and the company's long-term strategy focused on AI-driven digital infrastructure and cybersecurity.

2 Market Analysis

2.1 Revenue Analysis

Cisco Systems generates revenues across three main geographic segments: Americas, Europe, Middle East and Africa (EMEA), and Asia Pacific, Japan and China (APJC).

Year	Americas	EMEA	APJC	Total	Americas%	EMEA%	APJC%	Revenue Growth
2021	29.161	12.951	7.706	49.818	58.54%	26.00%	15.47%	–
2022	29.814	13.715	8.027	51.557	57.83%	26.60%	15.57%	3.49%
2023	33.447	15.135	8.417	56.998	58.68%	26.55%	14.77%	10.55%
2024	31.971	14.117	7.716	53.803	59.42%	26.24%	14.34%	-5.61%
2025	33.656	14.824	8.174	56.654	59.41%	26.17%	14.43%	5.30%

Table 2: Geographical Distribution of Revenues (USD millions)

The data show that the Americas consistently represent Cisco's largest source of revenues, accounting for approximately 58–59% of total revenues throughout the 2021–2025 period. This highlights the company's strong exposure to its domestic and regional market, which remains the core driver of business activity.

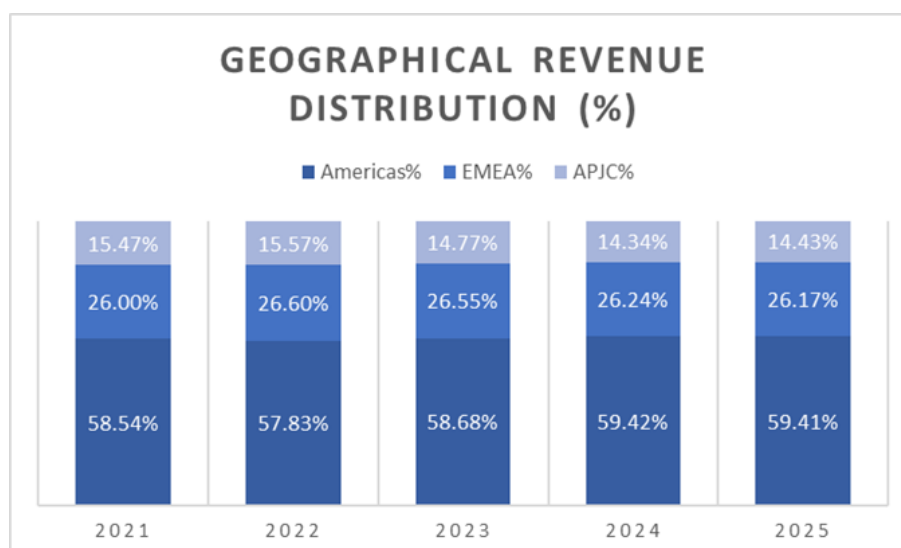


Figure 1: Geographical Revenue Distribution (%)

The EMEA region represents the second most important market, contributing approximately 26% of total revenues, while the APJC region accounts for around 14–16%. The

geographical composition of revenues remains broadly consistent over time, indicating a stable and well-established international presence.

The graphical evidence further confirms the limited volatility in Cisco's regional revenue mix, with only moderate changes across the three geographic segments over the five-year period.

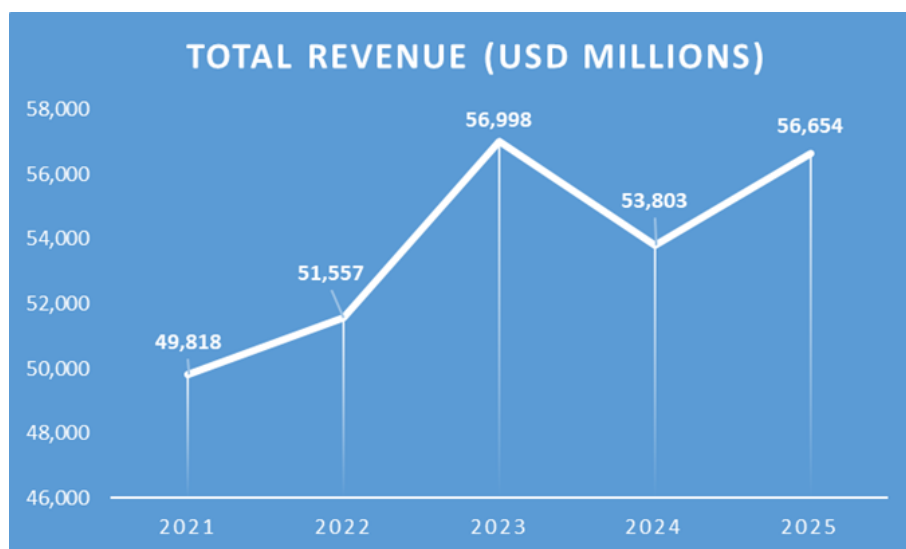


Figure 2: Total Revenue Trend (USD millions)

From a dynamic perspective, total revenues display a moderate upward trend, increasing from approximately USD 49,818 million in 2021 to USD 56,654 million in 2025, despite a temporary contraction between 2023 and 2024. The decline observed in 2024 may be partially associated with weaker demand conditions and temporary slowdowns in customer spending on networking infrastructure.

Among foreign markets, EMEA represents Cisco's most significant international region, while APJC remains strategically important due to its long-term growth potential and exposure to emerging digital infrastructure markets.

Overall, Cisco can be considered a highly internationalized company, as more than 40% of its revenues are generated outside the Americas. Nevertheless, the persistent predominance of the Americas segment indicates a continued structural dependence on the U.S. and regional market, reflecting both the scale and maturity of Cisco's domestic operations.

2.2 Operating Costs and Sourcing Structure

Cisco operates under a highly globalized and outsourced production model, relying on third-party contract manufacturers for assembly, testing, and repair, primarily concentrated in Asia. The company sources components through a diversified supplier network,

though some critical inputs depend on a limited number of providers, creating exposure to supply shortages.

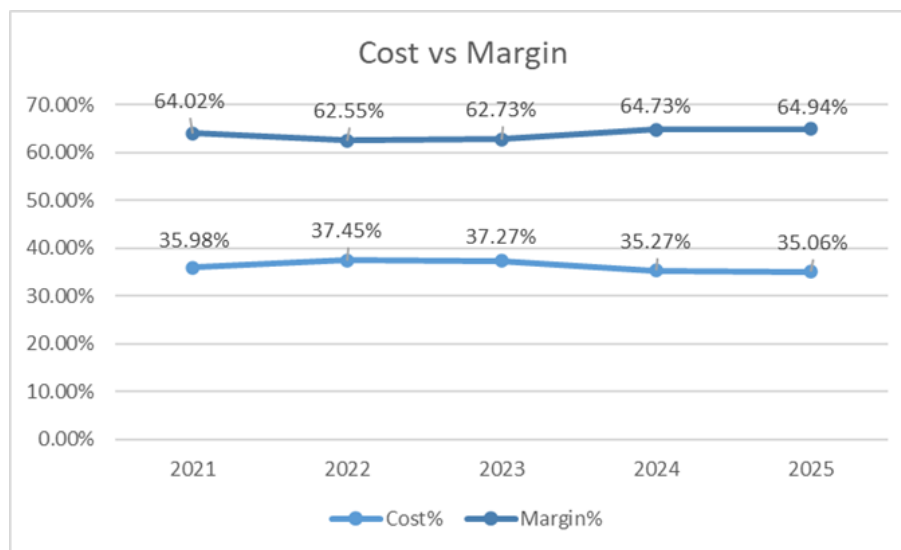


Figure 3: Cost Structure (% of Revenue)

Cisco's global supply chain has a direct impact on its cost structure. As shown in Figure 3, cost of sales remained stable at approximately 35–37% of revenues over the 2021–2025 period, with gross margins consistently around 63–65%.

A temporary increase in cost incidence in 2022 and 2023 reflected global supply chain disruptions and inflationary pressures, while the subsequent recovery in 2024 and 2025 indicates a normalization of operating conditions.

Despite the advantages of its asset-light model, Cisco remains exposed to geopolitical tensions, supplier concentration risk, and potential disruptions affecting Asian production hubs.

3 Financial Analysis

3.1 Profitability

The profitability analysis evaluates the company's ability to generate returns over the period 2021–2025 through key indicators including Net Profit Margin, EBIT Margin, EBITDA Margin, ROA, ROE, and Asset Turnover.

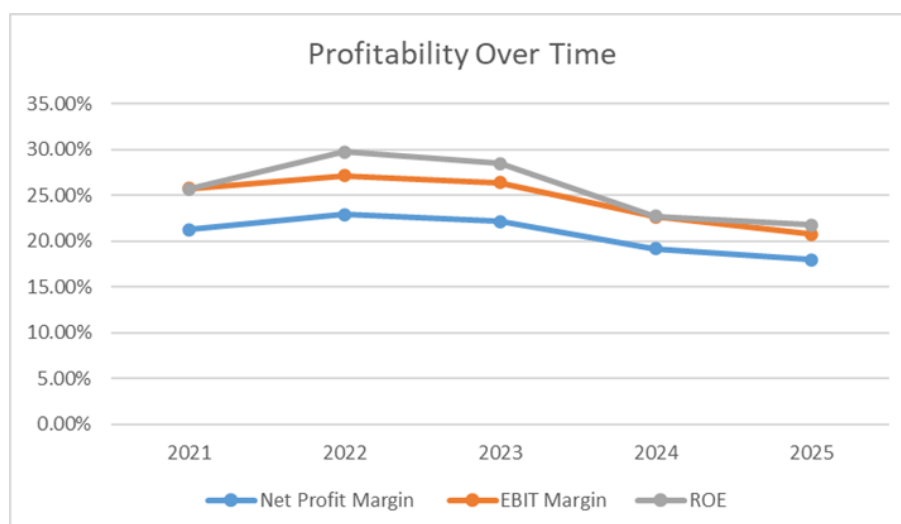


Figure 4: Profitability Over Time

Over the period considered, the company exhibits consistently high profitability, although a declining trend emerges after 2022. Net Profit Margin and EBIT Margin both peak in 2022 at 22.91% and 27.09% respectively, before deteriorating to 17.97% and 20.76% in 2025.

The EBITDA Margin confirms the same pattern, indicating that the decline reflects a genuine erosion of operating performance rather than accounting distortions. ROA and ROE follow a similar trajectory, with ROA falling from a peak of 12.57% in 2022 to 8.32% in 2025, and ROE declining from 29.70% to 21.73% over the same period.

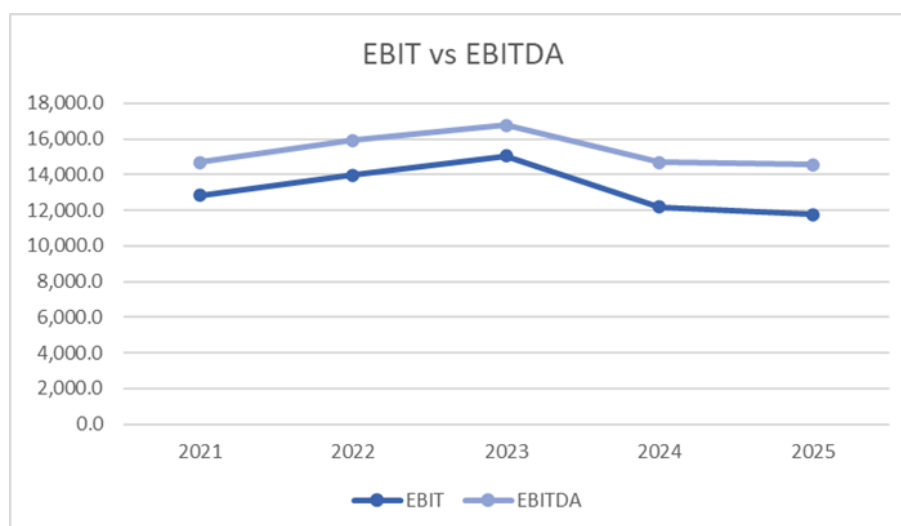


Figure 5: EBIT vs EBITDA

To better understand the drivers of ROE, a DuPont decomposition is performed. The analysis reveals that the decline is primarily attributable to falling Net Profit Margin and Asset Turnover, the latter dropping from 55.96% in 2023 to 46.33% in 2025.

Although the Equity Multiplier rises from 2.30 in 2023 to 2.61 in 2025, the increase in financial leverage is insufficient to offset the deterioration in operating performance, confirming that operating efficiency represents the main driver of shareholder returns.

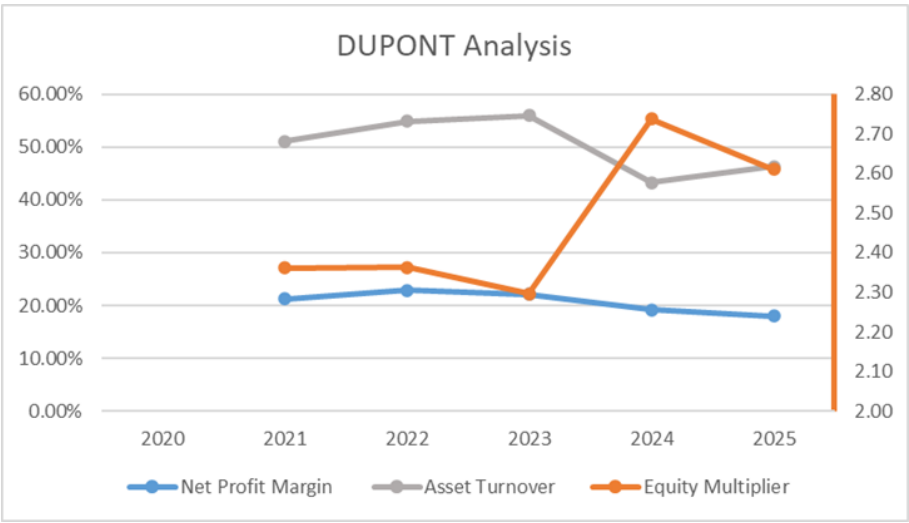


Figure 6: DuPont Analysis

To assess the sensitivity of ROE to operating efficiency, a simulation is conducted assuming a 5% improvement in profitability, while holding Asset Turnover and Equity Multiplier constant within the DuPont framework.

The improvement is interpreted as a reduction in operating costs at constant revenues, resulting in a higher Net Profit Margin and consequently a higher simulated ROE. Results show a consistent improvement across all years, with simulated ROE rising from 21.73% to 22.82% in 2025 and from 29.70% to 31.18% in 2022, confirming that even moderate gains in operating efficiency can generate meaningful improvements in shareholder profitability.

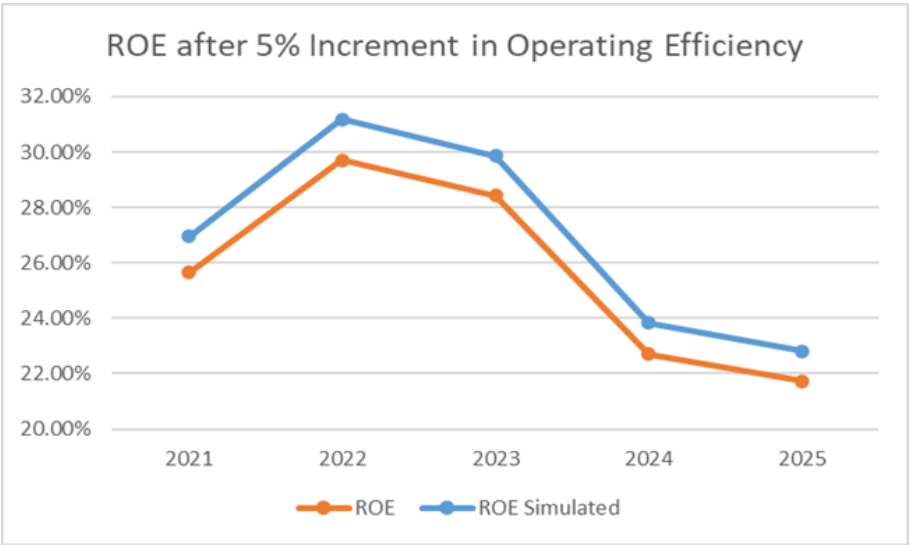


Figure 7: ROE after 5% Improvement in Operating Efficiency

The simulation results show a consistent increase in ROE across all years considered. In 2021, ROE increases from 25.66% to 26.94%, while in 2022 it rises from 29.70% to 31.18%.

In 2023, the simulated ROE reaches 29.86%, compared to a base value of 28.44%. In the more recent years, ROE improves from 22.70% to 23.84% in 2024, and from 21.73% to 22.82% in 2025.

These findings confirm the strong sensitivity of shareholder returns to changes in operating profitability. Even a moderate improvement in operating efficiency generates a meaningful increase in ROE across the entire period, confirming that profitability remains one of the primary drivers of shareholder value.

3.2 Liquidity/Solvency

Liquidity and solvency ratios assess Cisco's ability to meet short-term and medium-term financial obligations, focusing on the Current Ratio, Quick Ratio, Cash Ratio, Interest Coverage Ratio, and Debt Coverage Ratio.

Liquidity weakened progressively over the period. The Current Ratio declined from 1.49 in 2021 to 0.91 in 2024, recovering slightly to 1.00 in 2025. The Quick Ratio followed a similar pattern, falling below 1 from 2024 onwards. These developments reflect the sharp increase in short-term liabilities following the Splunk acquisition. The Cash Ratio remained relatively low throughout the period, fluctuating between 0.18 and 0.35.

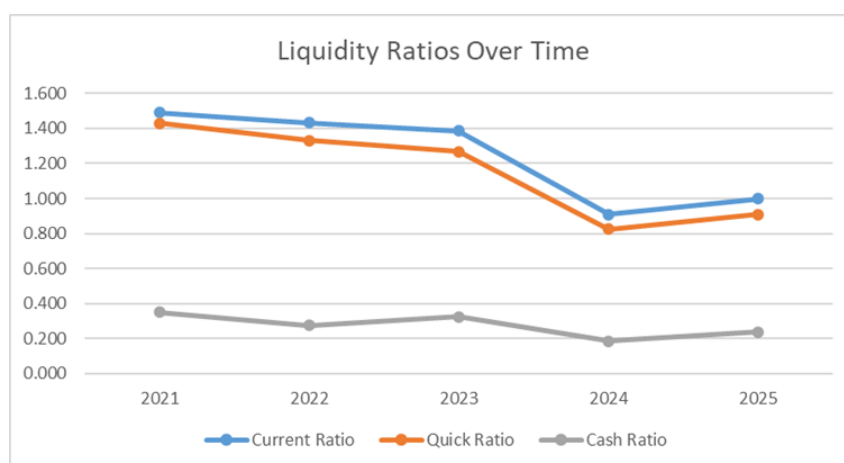


Figure 8: Liquidity Ratios Over Time

Despite the weaker liquidity position, Cisco maintains relatively solid solvency levels. The Interest Coverage Ratio remains high overall, increasing from 29.57 in 2021 to 38.80 in 2022 before declining to 7.38 in 2025. Although the reduction is significant, operating income continues to comfortably cover interest expenses.

The decline is primarily associated with weaker operating profitability and higher debt levels in the last two years, reflecting both the increase in interest expenses following the

acquisition-related financing and the partial compression of EBIT margins observed since 2023.

The Debt Coverage Ratio remained above 1 between 2021 and 2023, peaking at 2.37 in 2023, indicating strong operating cash flow coverage relative to total debt during that period. However, the sharp reduction to 0.35 in 2024 and the limited recovery to 0.51 in 2025 primarily reflect the substantial increase in total debt associated with the financing of the Splunk acquisition.

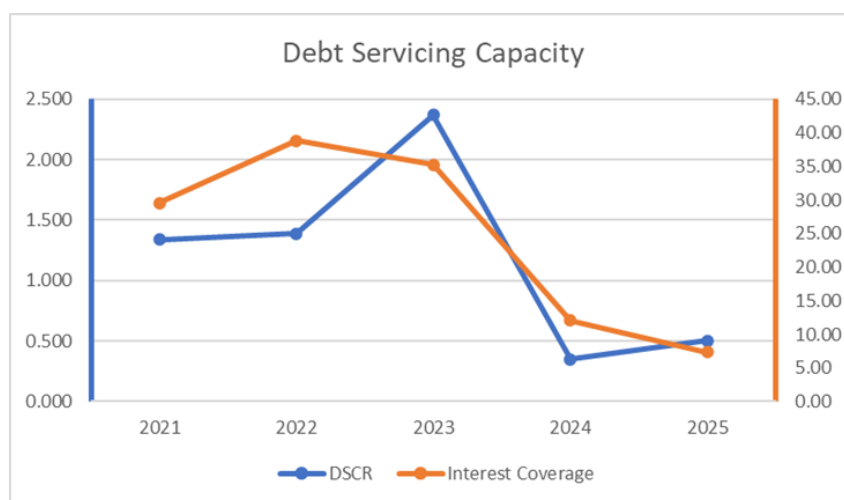


Figure 9: Debt Servicing Capacity

Overall, the deterioration reflects a deliberate strategic shift rather than a structural financial weakness. As leverage gradually normalizes and profitability stabilizes, these indicators are expected to progressively recover toward pre-acquisition levels.

3.3 Financial Leverage

The leverage analysis evaluates Cisco's capital structure over 2021–2025 using Debt-to-Equity, Net Debt-to-EBITDA, Debt-to-Assets, and Equity Ratio.

Between 2021 and 2023 the capital structure was conservative. The Debt-to-Equity ratio declined from 0.279 to 0.189, and in 2023 Cisco reached a net cash position, with Net Debt-to-EBITDA turning negative at -0.103. The Equity Ratio remained above 43%, confirming limited reliance on debt financing.

From 2024 onwards, leverage increased significantly following the Splunk acquisition. Debt-to-Equity rose to 0.681 and Net Debt-to-EBITDA reached 1.597. The Equity Ratio declined to 36.54% before partially recovering to 38.30% in 2025. Despite the increase, leverage indicators remain manageable given Cisco's stable EBITDA generation and recurring cash flows.

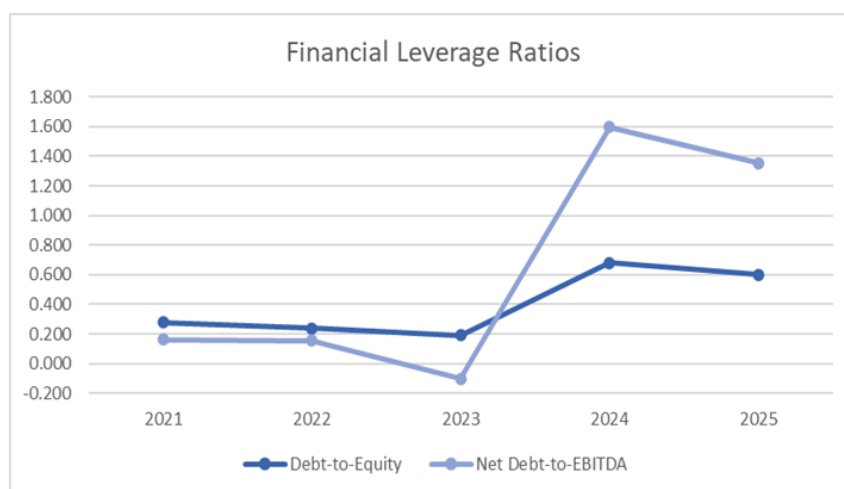


Figure 10: Financial Leverage Ratios

Overall, Cisco's capital structure transitioned from conservative to more balanced, without becoming aggressive. The company's strong operating performance and access to capital markets continue to support financial stability.

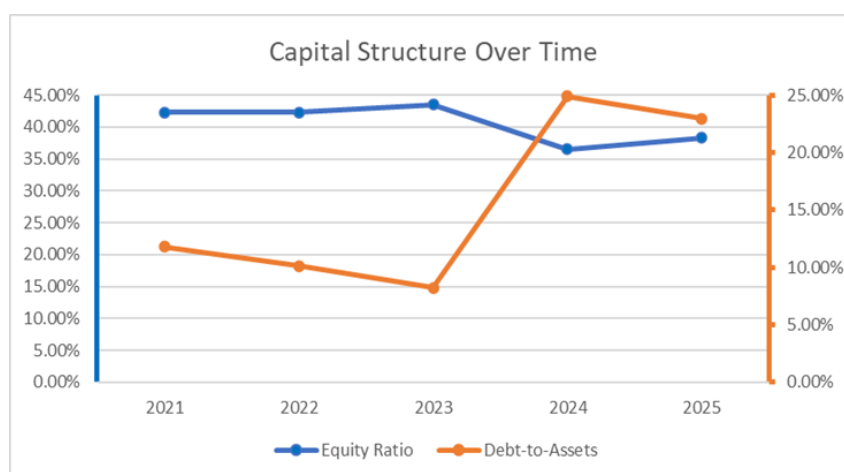


Figure 11: Capital Structure Over Time

3.4 Market Performance

The analysis of Cisco Systems' market performance evaluates how market valuation evolved over 2021–2025 and whether investors priced the company consistently with its accounting fundamentals. The indicators considered are annual stock return, price-to-earnings ratio (P/E), market-to-book ratio, and EV/EBITDA.

Cisco's stock experienced significant volatility over the period. After declining to \$45.28 in 2022 and generating a negative return of -18.34%, consistent with broader technology sector weakness, the stock recovered to \$52.04 in 2023 with a return of +14.93%.

In 2024 it declined again to \$47.99, corresponding to a return of -7.78%, reflecting investor concerns related to higher leverage and the Splunk acquisition. However, in

2025 Cisco experienced a strong recovery, with the stock reaching \$67.92 and generating an annual return of +41.53%, suggesting renewed investor confidence in the company’s strategic positioning and long-term growth prospects.



Figure 12: Annual Stock Return

Valuation multiples confirm this trend. The P/E ratio declined from 22.08 in 2021 to 15.76 in 2022 before recovering to 26.42 in 2025, reflecting stronger investor confidence and higher growth expectations.

The Market-to-Book ratio followed a similar pattern, declining to 4.23 in 2024 before rising to 5.74 in 2025, consistently above book value throughout the period, reflecting the importance of intangible assets and expected future cash flows.

The EV/EBITDA ratio also declined to 11.84 in 2022 before progressively increasing to 19.81 in 2025. Compared with high-growth technology firms, Cisco’s multiples remain relatively moderate, consistent with its mature business profile and stable long-term growth expectations.

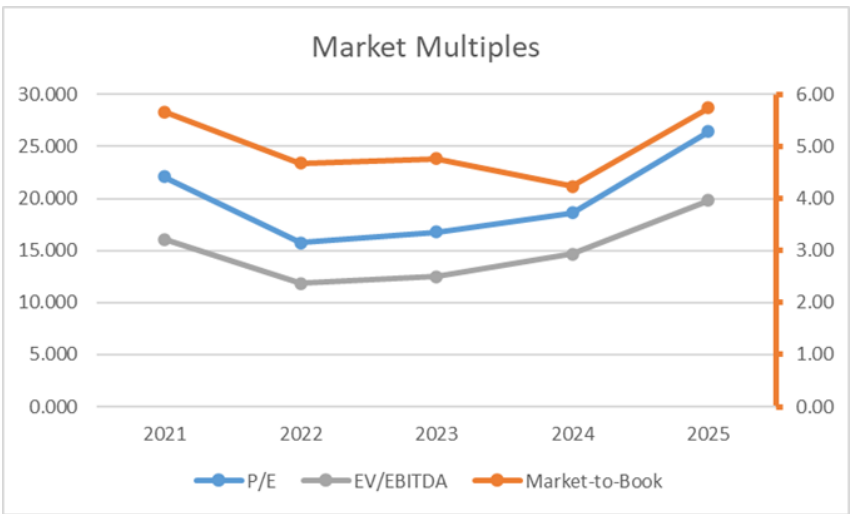


Figure 13: Market Multiples

Overall, Cisco's market performance appears broadly consistent with its accounting fundamentals. Stronger profitability generally corresponded to higher valuations and positive returns, while weaker margins and higher leverage negatively affected investor sentiment.

The strong recovery in 2025 confirms that investors continue to view Cisco as a financially solid company with attractive long-term strategic prospects.

4 Risk Analysis

4.1 Country Risk

Cisco's highly internationalized model exposes it to several forms of country risk, including geopolitical tensions, macroeconomic instability, inflationary pressures, and supply chain disruptions. The analysis focuses on four countries selected for their strategic relevance: the United States, as Cisco's headquarters and largest revenue market; Germany, as a key commercial market within EMEA; China, for its central role in supply chain operations; and India, as an important R&D hub and high-growth market.

Country risk exposure was assessed using sovereign credit ratings, CDS spreads, inflation rates, and country risk premiums.

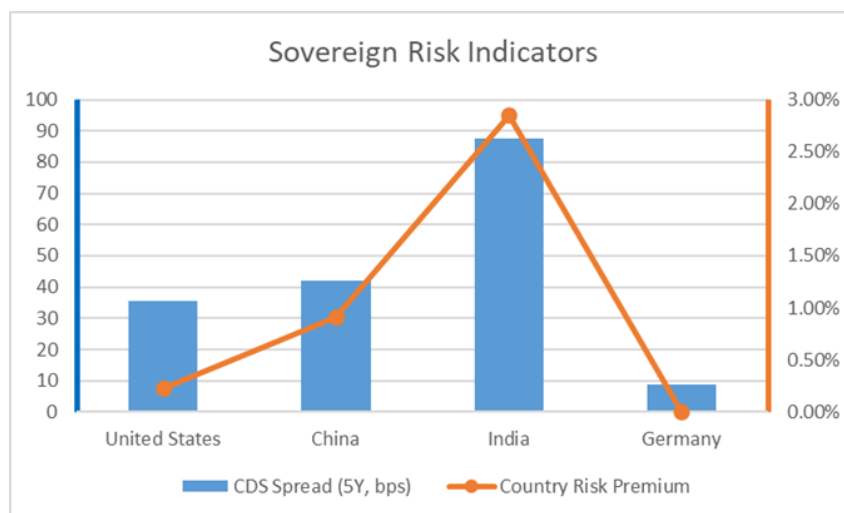


Figure 14: Sovereign Risk Indicators

The analysis highlights significant differences among the four countries. The United States, despite its strong institutional profile, presents indirect risks including elevated interest rates weighing on corporate IT spending, regulatory scrutiny over large technology acquisitions such as Splunk, and trade policy restrictions toward China that directly constrain Cisco's international revenue exposure.

Germany shows the lowest sovereign risk, supported by an AAA rating and negligible CDS spread. However, weak industrial demand and sluggish eurozone growth may reduce

corporate investment in digital infrastructure across the EMEA region.

China is strategically critical for Cisco's supply chain but represents the most sensitive risk factor. Despite an investment-grade rating, geopolitical tensions and trade restrictions with the United States may generate supply chain disruptions and operational inefficiencies.

India plays an increasingly important role as an R&D hub and high-growth market. Compared to developed economies, it exhibits higher inflation and a larger country risk premium, though its long-term growth potential remains strategically attractive.

Macroeconomic indicators, particularly inflation rates, further emphasize these differences.

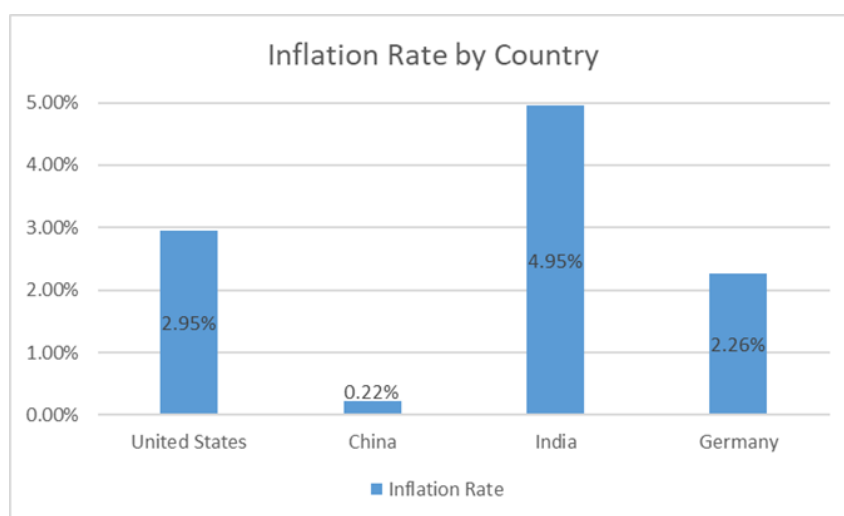


Figure 15: Inflation Rate by Country

India records the highest inflation among the countries analyzed, reflecting greater macroeconomic volatility and potentially higher operational costs. China exhibits extremely low inflation, consistent with weaker domestic demand, while the United States and Germany maintain moderate and stable levels.

Overall, Cisco's exposure to country risk appears significant but manageable, supported by broad geographic diversification, multiple sourcing strategies, and an asset-light operating structure. Nevertheless, the company remains exposed to external shocks affecting global trade and geopolitical relations, particularly in the Asia-Pacific region.

5 Financial Valuation

5.1 Cost of Equity

The cost of equity of Cisco Systems was estimated using the Capital Asset Pricing Model (CAPM), which relates the expected return required by shareholders to the systematic risk of the company's stock. Since Cisco is a U.S.-based multinational company whose

financial statements and market valuation are expressed in U.S. dollars, all assumptions adopted in the analysis are consistent with a USD-denominated valuation framework.

The CAPM model applied is:

$$k_e = r_f + \beta(r_m - r_f) \quad (1)$$

The risk-free rate was proxied using the yield on the U.S. 10-year Treasury bond, which is generally considered the most appropriate benchmark for long-term USD valuations. A value of 4.36% was adopted, reflecting market conditions at the end of 2025.

This choice is consistent with both the valuation currency and Cisco's primary market exposure, considering that the majority of the company's revenues are generated in the Americas.

The market portfolio was represented by the S&P 500 Index, which is widely used as a proxy for the U.S. equity market and provides an appropriate benchmark for a large publicly traded technology company such as Cisco.

Monthly stock returns for Cisco and monthly market returns for the S&P 500 were collected over a two-year period from January 2024 to December 2025.

Cisco's equity beta was estimated as:

$$\beta = \frac{Cov(R_i, R_m)}{Var(R_m)} \quad (2)$$

and verified through linear regression.

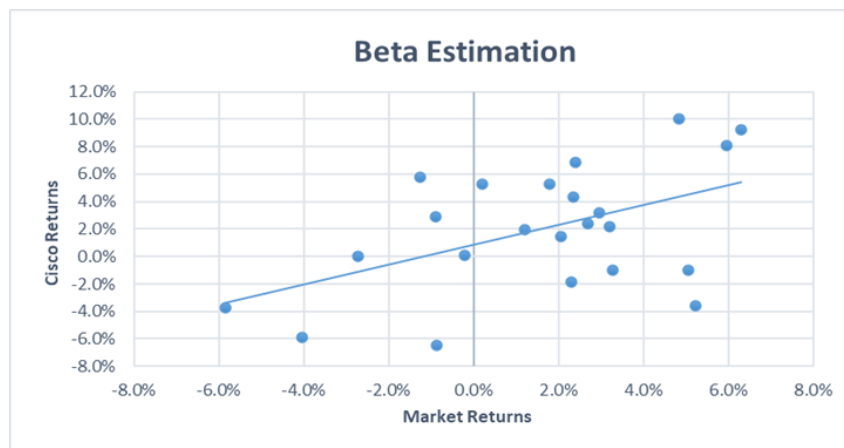


Figure 16: Beta Estimation

The estimated beta coefficient is equal to 0.693, indicating that Cisco's stock is less volatile than the overall market. This result is coherent with Cisco's profile as a mature and diversified technology company characterized by relatively stable cash flows and moderate systematic risk.

The market risk premium was estimated using Damodaran's implied U.S. equity risk premium for 2025, equal to 4.46%. This premium represents the additional return required

by investors for investing in equities rather than risk-free securities.

Applying the CAPM formula produces the following result:

$$k_e = 0.0436 + 0.693 \times 0.0446 \quad (3)$$

$$k_e = 0.0745 = 7.45\% \quad (4)$$

The estimated cost of equity of 7.45% suggests that investors require a moderate rate of return to compensate for the systematic risk associated with Cisco's stock. The relatively low beta contributes to limiting the overall cost of equity, reflecting Cisco's strong market position, diversified operations, recurring revenues, and solid financial fundamentals.

5.2 Cost of Debt and WACC

The estimation of Cisco Systems' weighted average cost of capital (WACC) requires the calculation of both the cost of debt and the relative weights of debt and equity within the company's capital structure. The WACC represents the overall expected return required by shareholders and creditors and is commonly used as the discount rate in corporate valuation analysis.

The cost of debt was estimated by dividing interest expenses by the average financial debt outstanding between 2024 and 2025, according to the following formula:

$$k_d = \frac{2 \times \text{Interest Expenses}}{\text{Financial Debt}_t + \text{Financial Debt}_{t-1}} \quad (5)$$

This approach provides an approximation of the company's effective borrowing cost over the period considered.

For fiscal year 2025, Cisco reported interest expenses of USD 1,593 million, with total financial debt equal to USD 28,093 million in 2025 and USD 30,962 million in 2024. The resulting pre-tax cost of debt is estimated at 5.39%, consistent with Cisco's solid financial profile and moderate borrowing risk.

The WACC was computed using the market value of equity, proxied by the company's 2025 market capitalization of approximately USD 268,963 million, and the book value of financial debt of USD 28,093 million. The book value of debt was adopted as a proxy because the market value of debt was not directly observable.

A normalized corporate tax rate of 21% was applied, consistent with the U.S. federal corporate tax rate and preferred over the effective tax rate in order to avoid distortions generated by non-recurring fiscal effects.

The WACC was calculated using the following formula:

$$WACC = k_e \frac{EqV}{EqV + FD} + k_d(1 - t) \frac{FD}{EqV + FD} \quad (6)$$

By applying the estimated capital structure weights together with the previously estimated cost of equity of 7.45% and the after-tax cost of debt of 4.26%, Cisco's WACC is estimated at 7.15%.

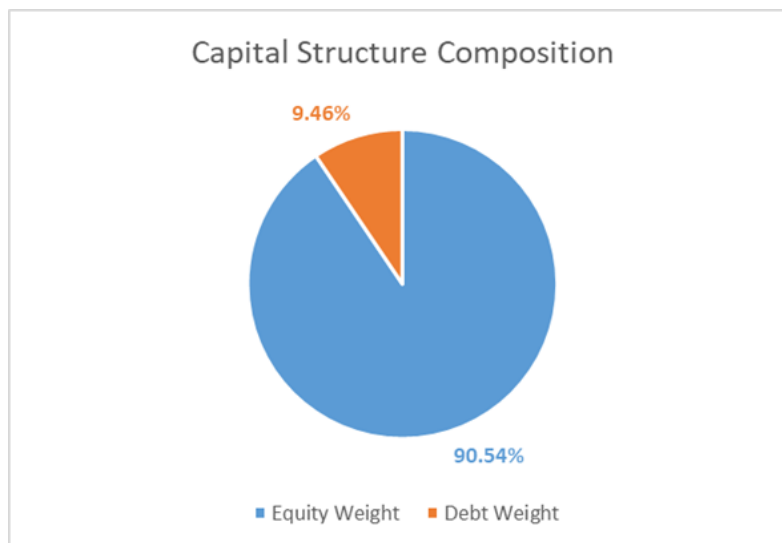


Figure 17: Capital Structure Composition

The capital structure composition indicates that Cisco relies predominantly on equity financing, with equity representing more than 90% of total financing sources based on market values. Consequently, debt plays a relatively limited role within the company's financing structure despite the increase in leverage observed following the Splunk acquisition.

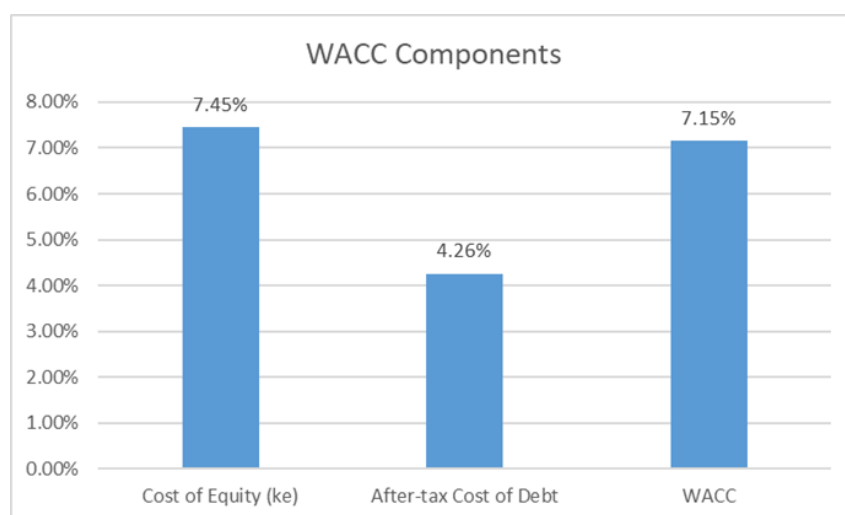


Figure 18: WACC Components

Because debt represents less than 10% of total financing, Cisco's WACC remains very close to its cost of equity, while the after-tax cost of debt provides only a limited tax shield benefit.

Overall, the estimated WACC of 7.15% is consistent with Cisco's financial profile, moderate systematic risk, and strong market positioning, and reflects the characteristics of a mature multinational technology company despite the increase in leverage associated with the Splunk acquisition.

5.3 Company Valuation through DCF

The valuation of Cisco Systems was conducted using the Discounted Cash Flow (DCF) methodology, applying both the equity-side approach and the asset-side approach. The objective of the analysis is to estimate the intrinsic value of the company based on its expected future cash flow generation capacity and to compare the resulting valuation with Cisco's current market capitalization.

The equity-side approach is based on the estimation of Free Cash Flow to Equity (FCFE), discounted at the cost of equity estimated through the CAPM model. The asset-side approach relies on Free Cash Flow to Firm (FCFF), discounted using the company's Weighted Average Cost of Capital (WACC). Both approaches were developed consistently with the assumptions adopted in the previous valuation sections.

The historical analysis indicates that Cisco generated relatively stable profitability and cash flows over the 2021–2025 period, despite temporary fluctuations associated with macroeconomic conditions and the Splunk acquisition. However, it is important to note that the fiscal year 2024 represents a structural outlier within the historical series. The FCFE for that year reached approximately USD 50,489 million, a value that is not representative of Cisco's underlying cash flow generation capacity, as it was entirely driven by the exceptional net borrowing associated with the acquisition financing.

For this reason, the fiscal year 2025 normalized figure was selected as the base year for cash flow projections, as it more accurately reflects the company's recurring free cash flow generation following the completion of the acquisition and the initial phase of debt repayment.

The forecast growth rate was set at 3.50%, slightly above Cisco's historical revenue CAGR of 3.27% observed between 2021 and 2025. This assumption reflects expectations of moderate long-term expansion supported by recurring revenues, cybersecurity demand, AI-related investments, and software growth.

At the same time, the assumption remains conservative and coherent with the mature profile of the company.

The terminal growth rate was set at 2.50%, in line with long-term nominal economic growth expectations and consistent with the sustainable growth prospects of a mature multinational technology company.

The selected terminal growth rate also reflects the assumption that Cisco will continue generating stable cash flows without maintaining exceptionally high growth rates

indefinitely. Notably, the terminal growth rate of 2.50% exceeds the nominal U.S. GDP growth assumption of 2.10%, which is a deliberate choice reflecting Cisco's above-average long-term positioning in structurally growing sectors such as cybersecurity and AI-driven infrastructure, while remaining well below the forecast growth rate to ensure long-term sustainability of the model.

Assumption	Value
Historical Revenue CAGR	3.27%
Forecast Growth Rate	3.50%
Nominal U.S. GDP Growth	2.10%
Terminal Growth Rate	2.50%
Cost of Equity	7.45%
WACC	7.15%

Table 3: DCF Valuation Assumptions

The projected FCFE and FCFF values for the 2026–2030 period were estimated by applying the forecast growth rate to the 2025 base year cash flows. These cash flows were subsequently discounted using the estimated cost of equity (7.45%) and WACC (7.15%), respectively.

The valuation results indicate that terminal value represents the largest component of Cisco's estimated value, which is typical in DCF analyses of mature technology companies characterized by stable long-term cash flow generation.

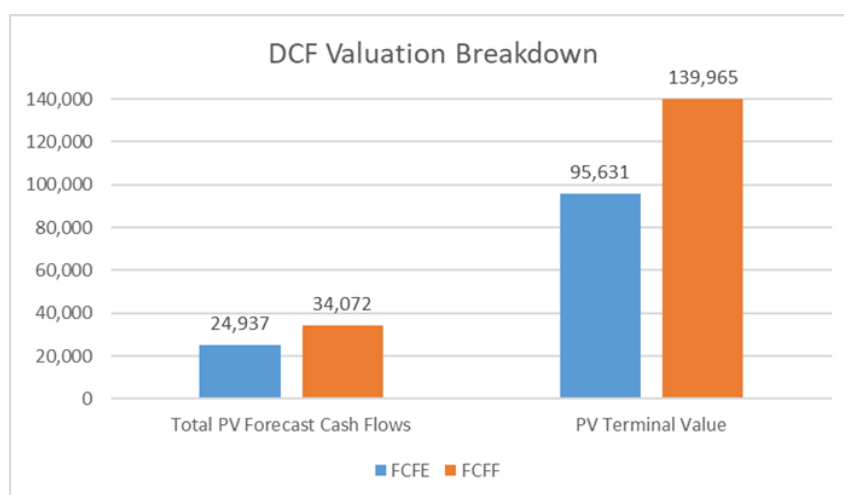


Figure 19: DCF Valuation Breakdown

Using the equity-side approach, the estimated equity value obtained from discounted FCFE amounts to approximately USD 120,568 million. Using the asset-side approach, the estimated enterprise value derived from FCFF equals approximately USD 174,037 million.

After subtracting net debt of USD 19,747 million, the resulting equity value amounts to approximately USD 154,290 million.

It is worth noting that the two approaches produce a divergence in equity value estimates of approximately USD 33,700 million. This gap is primarily attributable to differences in the cash flow base used in each approach. FCFE is computed after accounting for net borrowing and therefore incorporates the financing structure of the firm more directly, while FCFF reflects pre-financing operating cash flows and is adjusted for net debt only at the final step.

Additionally, the two approaches use different discount rates — the cost of equity for FCFE and the WACC for FCFF — which amplifies the divergence at the terminal value level. Both estimates are considered informative, and their range defines a plausible valuation interval of approximately USD 120,568–154,290 million.

Valuation Method	Value (USD million)
Equity Value (FCFE)	120,568
Enterprise Value (FCFF)	174,037
Equity Value from FCFF	154,290
Market Capitalization	268,963

Table 4: Valuation Results

The estimated values obtained through both DCF methodologies remain significantly lower than Cisco's current market capitalization of approximately USD 268,963 million. Although the revised assumptions produce slightly higher valuation estimates, the results continue to suggest that the market values Cisco above the intrinsic value derived from the DCF model under the assumptions adopted in this analysis.

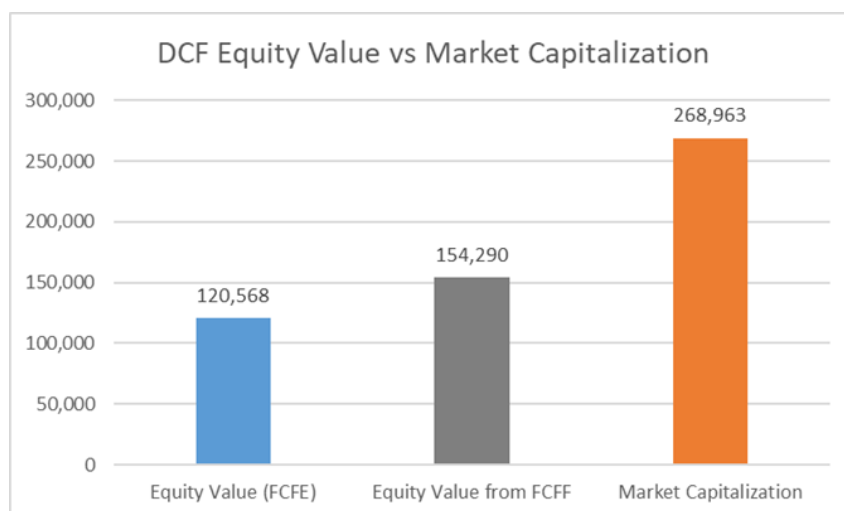


Figure 20: DCF Equity Value vs Market Capitalization

Overall, the results suggest that Cisco's stock may appear potentially overvalued relative to its DCF-based intrinsic value. However, this difference may be partially explained by factors not fully captured by the model. In particular, investors may incorporate stronger expectations regarding artificial intelligence opportunities, cybersecurity demand, recurring software revenues, and the long-term strategic benefits associated with the Splunk acquisition.

In addition, large technology companies often benefit from valuation premiums linked to intangible assets, innovation capacity, and strong competitive positioning.

Despite its usefulness, the DCF methodology presents several limitations that should be acknowledged. The valuation is highly sensitive to assumptions regarding growth rates, discount rates, and terminal value estimation. In this analysis, terminal value represents the largest component of total estimated value, increasing the sensitivity of results to changes in the terminal growth rate and WACC.

Even small variations in these assumptions would produce material changes in the estimated equity value. Furthermore, the model does not fully capture future acquisitions or structural changes in competitive dynamics that could significantly affect Cisco's long-term cash flow generation. These limitations should therefore be considered when interpreting the valuation results.

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